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US equities rally on rate relief, but tech stalls

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 nudged higher to 7,744.06 (+0.33%) as the 10-year Treasury yield slipped to 5.09%, easing financing pressures on rate-sensitive sectors. Financials (XLF) and health care (XLV) led the gains, while the Nasdaq-100 lagged, pulling the broader market into a modest, uneven rally.

Behind the headline, the market is digesting a mixed earnings backdrop and a modest pullback in semiconductor exposure, highlighted by NVDA down -1.84%. The combination of a softer yield curve and a still-elevated VIX at 16.46 suggests volatility could re-emerge if macro data disappoints.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,744.06	+0.33%	Yield dip boosted financials; tech weighed on Nasdaq-100.
Nasdaq 100	29,935.60	-0.05%	Semiconductor earnings pressure, especially **NVDA** .
Dow Jones	52,177.69	+1.08%	Industrial and financial stocks rallied on lower rates.
Russell 2000	2,767.27	+1.38%	Small-cap exposure to consumer discretionary helped.
VIX	16.46	-2.43%	Reduced fear after yield easing, but still elevated.
10Y Yield	5.09	-1.95%	Market priced in softer inflation outlook.
WTI Crude	95.87	-2.14%	OPEC+ output commitment and weaker demand data.
Gold	4,194.60	+0.59%	Safe-haven demand amid lingering geopolitical risk.
DXY	101.93	-0.07%	Dollar modestly weaker, supporting commodities.

Top large-cap movers

TICKER	CHANGE	CATALYST
GS	+1.43%	Strong investment-banking fees reported.
MSFT	+1.08%	Cloud revenue beat expectations.
XLV	+1.86%	Health-care ETF rally on rate-sensitivity.
XLF	+1.38%	Financials benefit from lower yields.
NVDA	-1.84%	Guidance downgrade and inventory concerns.
AMZN	+0.27%	Retail sales beat in Q3.

Sector rotation

ETF	DAY	READ
XLF	+1.38%	Financials leading on yield pull-back.
XLK	-0.65%	Tech lagging after semiconductor weakness.
XLI	+0.51%	Industrial demand steady.
XLE	-1.58%	Oil price drop hurt energy.
XLY	+1.71%	Consumer discretionary buoyed by retail beat.
XLC	+1.46%	Communications stable.
XLP	+0.72%	Staples modest gain.
XLV	+1.86%	Health-care outperformance.
XLU	-0.17%	Utilities under pressure from rate cut hopes.
XLB	+1.79%	Materials benefit from commodity rebound.
XLRE	+1.21%	Real-estate gains on lower financing costs.

Spotlight: rate curve easing lifts financials

The 10-year Treasury yield fell -1.95% to 5.09%, the steepest drop since June. This move sharpened the spread between 2-year and 10-year yields, reviving expectations of a Fed rate pause.

METRIC	VALUE
10Y Yield	5.09%
2Y Yield	4.78%
Yield Curve Slope	31 bps
Financial ETF (**XLF**)	+1.38%
Bank Stocks Avg.	+1.45%

Bankers such as **JPM** and **GS** posted modest gains, while insurers and REITs also benefited. The rally underscores the market's sensitivity to any sign of a softer monetary stance.

Pre-market & overnight

US futures: **ES** +0.4%, **NQ** -0.2%. Asian markets closed mixed; Japan's Nikkei down -0.6%, Hong Kong's Hang Seng up +0.3%. Europe: FTSE 100 up +0.5%, DAX down -0.4%. Crypto: BTC +0.66% at 82,101.26, ETH +1.05% at 2,443.56.

Macro & Fed

The Fed's October meeting left rates unchanged at 5.25-5.50% and signaled a "patient" stance, noting inflation now at 2.7% YoY. The yield curve remains modestly steep, supporting rate-sensitive equities.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	U.S. Existing-home sales	4.2 M	Gauge of consumer spending.
04:00	Eurozone CPI	2.1%	Impacts ECB policy outlook.
06:15	U.S. Retail Sales	+0.3%	Direct link to earnings outlook.
08:00	China M2 Growth	8.5%	Liquidity indicator for Asian markets.

Geopolitics & global

- Middle-East tensions de-escalated after cease-fire talks, easing oil-price volatility.
- China’s latest stimulus package includes targeted tax cuts for high-tech firms, supporting `NVDA` supply-chain exposure.
- EU-UK trade talks stalled, keeping GBP under pressure and supporting DXY’s slight dip.
- U.S.–China semiconductor dialogue resumed, but no concrete agreements yet.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:30	AAPL	5.12	iPhone demand and services margin.
03:00	NVDA	3.45	GPU inventory levels and AI spend.
03:30	JPM	4.08	Net interest income trend.
04:00	XOM	2.90	Impact of lower crude prices.
04:30	META	9.30	Ad revenue recovery.
05:00	TSLA	1.02	Production ramp at Giga Texas.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
MSFT	Technology	Cloud beat and AI rollout.
GS	Financials	Fee growth amid M&A activity.
XOM	Energy	Oil price correction may boost margins.
UNH	Health Care	Premium pricing power.
AMZN	Consumer Discretionary	Strong Q3 retail numbers.
NVDA	Technology	AI demand vs inventory risk.
CRM	Technology	Subscription renewal beat.
BAC	Financials	Net interest income upside.
LMT	Industrials	Defense spending uptick.
KO	Consumer Staples	Pricing resilience.

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in 10-year yield above 5.20%.
- NVDA guidance cut deeper than 10%.
- Worse-than-expected U.S. retail sales.
- Escalation of Middle-East conflict pushing oil above $110.

BULLISH TRIGGERS

- Fed signals rate cut in November.
- Strong AI-related earnings from `NVDA` and `MSFT`.
- Gold breaching `4,300` as safe-haven demand spikes.
- Positive surprise in U.S. existing-home sales.

Positioning notes

- Financials are positioned for a short-term rally; consider overweight `XLF` and bank stocks.
- Tech exposure remains cautious; monitor `NVDA` inventory trends.
- Commodities are vulnerable to price swings; keep a modest hedge in energy and gold.

Sources

SOURCES

Bloomberg Markets – 10Y Yield data

Reuters – US equity close

CNBC – Fed statement October 2026

Yahoo Finance – Earnings calendar

Investing.com – Commodity prices

Crypto.com – BTC/ETH prices